



Shopee

**BRAND
PROTECTION**

2024
**ANNUAL
REPORT**

Contents

A Message to our Partners	02
Our Brand Protection Team & Priorities	03
01 Enhanced Notice & Takedown Process	04
02 Scaling Up Proactive Detection	07
2.1 Our Smart Identification System (SIS): Advancing Proactive IP Protection	09
2.2 Expansion of Proactive Measures to LATAM	09
03 Stronger Policies & Online-to-Offline (O2O) Partnerships	10
3.1 Improving Seller KYC	12
3.2 Ensuring Seller Accountability Through Penalty System	12
3.3 Enhanced Repeat Offender Policy	13
3.4 O2O Partnerships with Brands	13
04 Strengthening Industry Partnerships & Engagements	17
4.1 Deepening Industry Partnerships	19
4.2 Engaging Industry Stakeholders	20
Looking Ahead: Strengthening Brand Protection Together	22

A Message To Our Partners

I am pleased to share the third edition of Shopee's Brand Protection Annual Report. In 2024, we reaffirmed our commitment to building a safe and trusted online marketplace by strengthening efforts to protect intellectual property rights and support our partners across the region.

Trust and transparency are the foundation of sustainable digital commerce. At Shopee, we take a firm stance against counterfeit and infringing products, working closely with rights holders, industry associations, and enforcement agencies to tackle these threats.

This past year, we advanced our brand protection strategy across four key areas:

- 1 **Enhancing notice-and-takedown efficiency**
- 2 **Expanding proactive detection through our Smart Identification System (SIS)**
- 3 **Strengthening seller policies and enforcement**
- 4 **Deepening partnerships with brands and enforcement bodies**

We enhanced our Brand IP Portal and scaled our SIS coverage, enabling faster detection and removal of counterfeit listings. We also expanded enforcement efforts across online and offline channels, achieving quicker response times and stronger deterrence.

While we've made meaningful progress, brand protection remains a shared responsibility. In 2025, we will continue investing in innovation and collaboration—enhancing our tools and strengthening partnerships.

We thank all our partners for your trust, feedback, and collaboration. Your support drives our continued efforts to make Shopee a more secure, transparent, and trusted platform for everyone.



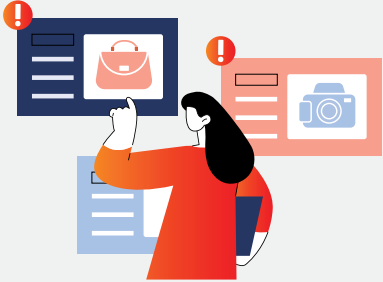
Ian Ho
Vice President
Shopee

Our Brand Protection Team & Priorities

Shopee is committed to protecting brands and maintaining trust by continuously strengthening its brand protection efforts. Through **enhanced enforcement measures and policies**, and **deeper collaborations with our brand partners**, we work to safeguard intellectual property and ensure a secure online marketplace.

Based in Singapore, Shopee's Regional Brand Protection Team collaborates with rights holders, enforcement agencies, and industry stakeholders to refine policies, strengthen detection systems, and take decisive action against infringements. We are closely supported by more than 100 operations and legal professionals across all our markets, enabling us to execute enforcement efforts efficiently and at scale.

1



Enhanced Notice & Takedown Channel
Ensuring swift and effective removal of infringing listings

2



Expanded Proactive Detection
Strengthening our Smart Identification System to protect brands and consumers

3



Stronger Policies & O2O Partnerships
Enhancing enforcement measures against repeat offenders and counterfeit networks

4



Industry Collaboration & Engagement
Deepening partnerships with stakeholders to drive collective action

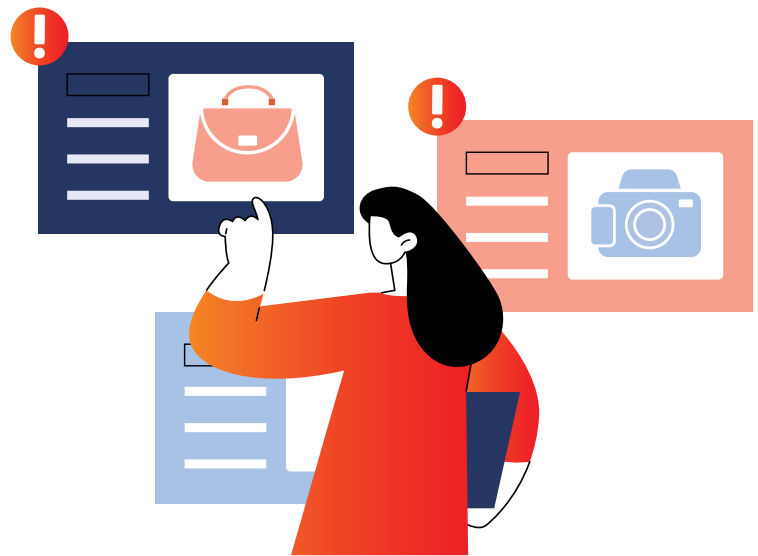
By focusing on these key pillars, Shopee is taking concrete steps to stay ahead of evolving threats and fostering a safer, more transparent, and trusted e-commerce environment for both brands and consumers alike.

SECTION 01

Enhanced Notice & Takedown Process

SECTION 01

Enhanced Notice & Takedown Process



A robust notice and takedown process is essential for effective brand protection. Shopee continues to enhance its Brand IP Portal, providing rights holders with a streamlined and efficient way to report and remove infringing listings.

In 2024

The Brand IP Portal was fully rolled out across all markets, supporting

10,502
Registered Brands
(4.7x YoY growth)

38,867
IP Registrations
(3.3x YoY growth)

Despite this significant expansion, Shopee maintained an average

**takedown SLA of
2.7 days**

ensuring swift enforcement and minimizing consumer exposure to infringing listings.

Over the year, Shopee processed IPR reports wherein

**94% were successfully
reviewed and removed,**

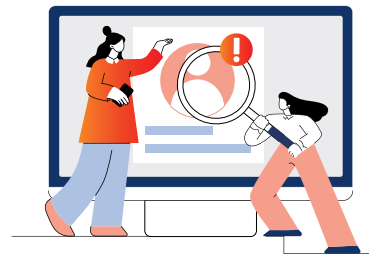
underscoring our commitment to timely, effective IP enforcement, and platform integrity.

Through continuous engagement with rights holders and enforcement agencies, we have introduced key enhancements to the **Brand IP Portal**, further strengthening its accessibility, efficiency, and user experience:



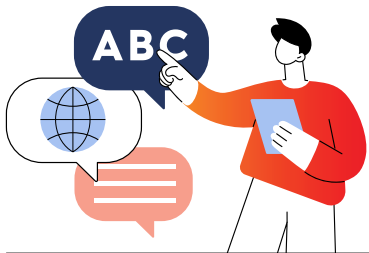
Increased listing cap per use

Rights holders can now report up to **1,000 listings per submission** (up from 200), making large scale enforcement faster and more efficient.



Seller-level brand impersonation reporting

Entire shops involved in brand impersonation can now be reported, empowering brands with more comprehensive protection.



Expanded language support

With availability in **eight local languages**, the Brand IP Portal is now even more accessible to rights holders across Shopee's diverse markets.

“

One of the key improvements and highlights is Shopee's Brand IP portal. Since the Brand IP Portal was launched, the takedown procedure of counterfeit goods has become more efficient. The user interface on the portal is well-organized and user-friendly, allowing brand owners to submit reports for multiple countries.

We are also pleased that Shopee's brand protection team continually supports us in addressing teething issues which [are] common when a new program is rolled out. We look forward to Shopee's continuing investments in supporting brand protection initiatives to enable strong cooperation and partnership with brand owners.

React

Jonathan Selvasegaram
Asia Pacific Manager
React

SECTION 02

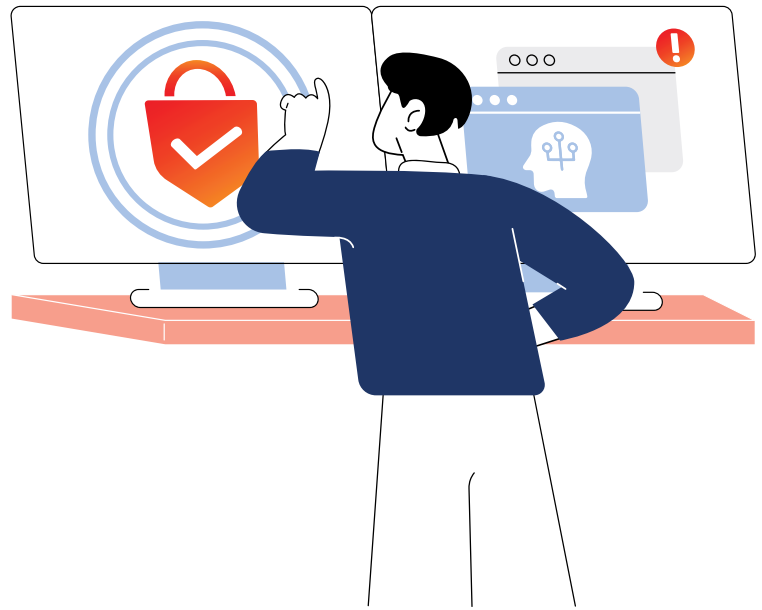
Scaling Up Proactive Detection

2.1 | Our Smart Identification System (SIS):
Advancing Proactive IP Protection

2.2 | Expansion of Proactive Measure to LATAM

SECTION 02

Scaling Up Proactive Detection



Shopee continues to go beyond reactive enforcement by strengthening its **AI-driven proactive enforcement** through the **Smart Identification System (SIS)**, to proactively detect and remove infringing listings before they reach consumers, enhancing user trust and maintaining platform integrity.

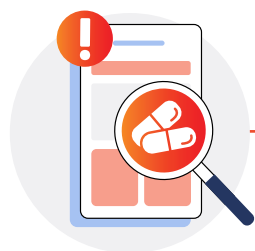
In 2024, Shopee broadened the application of SIS. Initially focused on high-risk categories such as pharmaceuticals, pesticides, and fast-moving consumer goods (FMCG), SIS was expanded to cover high-volume categories like footwear and apparel. This strategic shift allows us to address a wider range of potential infringements more efficiently. To further strengthen brand-specific enforcement, we also scaled the development of custom SIS models tailored to individual brand profiles.

By year-end, we had developed 78 brand-specific SIS models—a **threefold increase** from 24 in 2023—demonstrating our continued progress in enhancing the precision and reach of our proactive enforcement efforts.

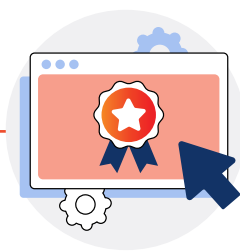
SECTION 2.1

Our Smart Identification System (SIS): Advancing Proactive IP Protection

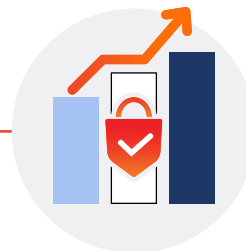
Shopee's SIS continues to play a central role in our proactive enforcement strategy. Since its launch, SIS has evolved significantly in scope and impact:

**2022**

Launched the SIS pilot in collaboration with the Pharmaceutical Security Institute, targeting prohibited and prescription drug listings.

**2023**

Brand-specific SIS models were introduced, with a priority on brands with frequent infringement reports and safety concerns.

**2024**

Scaled SIS further to brands with the highest volume of IPR reports, growing from 24 to 78 brands across key categories such as fashion, electronics and FMCG.

Through these efforts, Shopee has proactively removed over **97% of these listings** before any sales occurred. This approach led to proactive removals that were **four times higher** than the number of listings reported by participating brands on our Brand IP Portal.

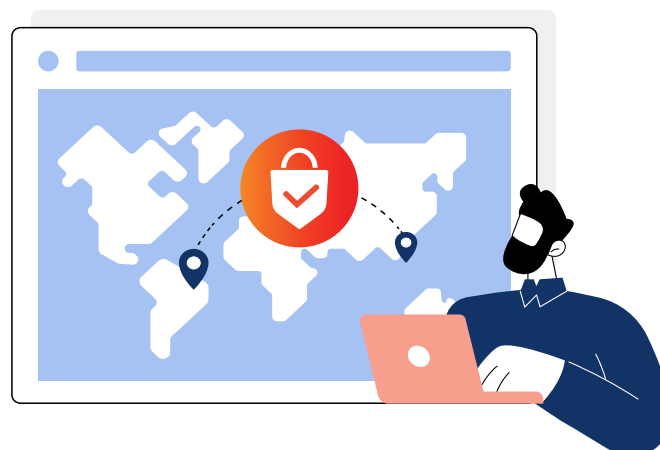
Compared to Q2 2024, participating brands saw a **48% decrease in total IPR reports** by Q4 2024, highlighting the effectiveness of our detection systems in identifying and removing infringements before brands need to take action.

SECTION 2.2

Expansion of Proactive Measures to LATAM

Building on the success of our SIS in Southeast Asia, Shopee expanded proactive enforcement to Brazil, reinforcing our global commitment to brand protection.

Following our comprehensive implementation of SIS, Brazil saw a **68% decline in IPR reports** in Q4 2024 compared to Q2 2024, reflecting a significant reduction in infringing activity and a strengthened brand protection across borders.



SECTION 03

Stronger Policies & Online-to-Offline (O2O) Partnerships

3.1 | Improving Seller KYC

3.2 | Ensuring Seller Accountability Through Penalty System

3.3 | Enhanced Repeat Offender Policy

3.4 | O2O Partnerships with Brands



SECTION 03

Stronger Policies & Online-to-Offline (O2O) Partnerships

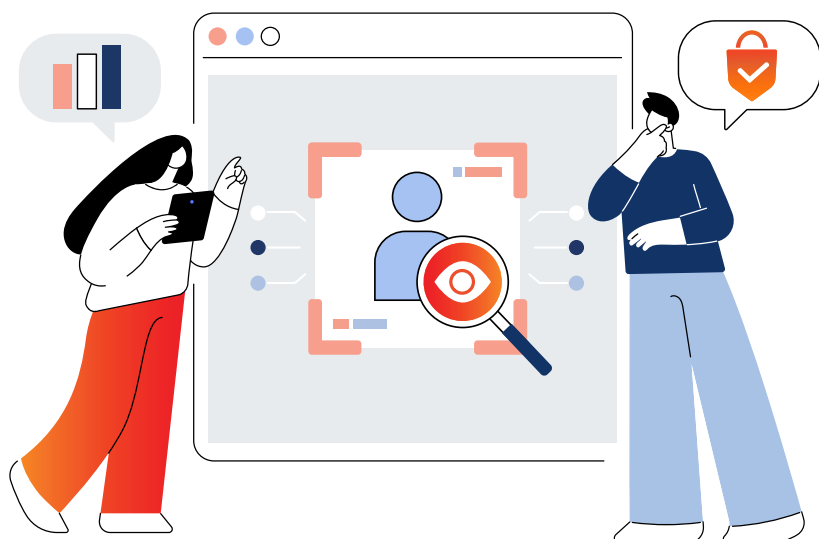
In 2024, Shopee reinforced its commitment to platform security and brand protection through strengthened preventive and enforcement measures. A key enhancement was the **enhancement of its seller KYC processes** to prevent fraudulent account creation and strengthen overall trust and safety. This step ensures stronger accountability at the point of onboarding, reducing opportunities for fraudulent actors to enter the platform.

To further deter repeat infringers, Shopee also actively enforces its **Seller Penalty Point System** and **Enhanced Repeat Offender Policy**. These tools enable swift and decisive action against those who violate intellectual property rights, reinforcing our zero-tolerance stance and maintaining the integrity of our marketplace.

Additionally, Shopee's **O2O partnerships** extend enforcement beyond the platform. By leveraging collaborative investigations, direct brand engagement, and offline enforcement actions, we help to drive meaningful real-world impact in the fight against counterfeits.

SECTION 3.1

Improving Seller KYC



In 2024, Shopee performed a significant enhancement on its **Know Your Customer (KYC)** policy across all markets to enhance security and block fraudulent sellers.

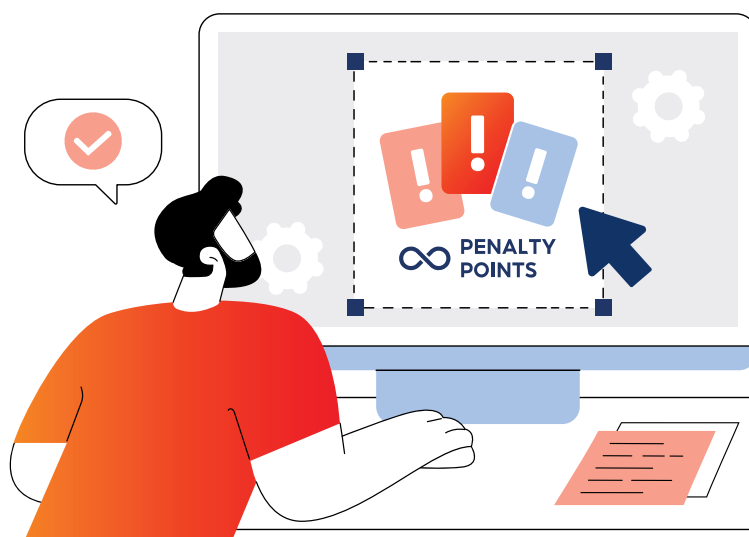
Under the updated policy, all new sellers—both individuals and businesses—must **undergo identity verification** through government ID validation APIs or live facial recognition, where available.

SECTION 3.2

Ensuring Seller Accountability Through Penalty System

Beyond removing infringing listings, Shopee also enforces a **penalty points system** to address various seller violations, including IP infringements, counterfeits, spam, and prohibited listings.

Sellers with accumulated penalty points are **subject to progressive sanctions**, ranging from privilege restrictions to full account suspension upon reaching the defined threshold. This strict escalation process ensures stronger deterrence against repeat violations, ensuring that Shopee remains



SECTION 3.3

Enhanced Repeat Offender Policy



In 2024, Shopee further intensified its effort against bad actors by expanding the Enhanced Repeat Offender Policy to **103 pilot brands**.

This resulted in the freezing of over 44,000 sellers for IP violations, a **more than 20% increase** from the year before. This milestone highlights the continued progress of our brand protection efforts and reflects Shopee's dedication to proactively deterring repeat infringers at scale.

SECTION 3.4

O2O Partnerships with Brands



Shopee is committed to partnering with rights holders to extend enforcement efforts from **online to offline**.

In the past year, we supported 25 brand owners in investigating over **400 sellers** across various industries, including pharmaceuticals, FMCG, beauty, electronics, and fashion. As part of our Online-to-Offline (O2O) pilot program, these joint efforts led to two successful offline enforcement raids, demonstrating our continued dedication to combating counterfeit activities both online and off platform.

“

Shopee's proactive approach in identifying counterfeit listings and promptly sharing this information has allowed us at Procter & Gamble to take swift action and protect consumers effectively.

This collaboration highlights the importance of online platforms, brand owners, and law enforcement working together to combat counterfeiting effectively. By joining forces, we can contribute to a safer shopping experience and maintain the integrity of our trusted brands for all consumers.

**Laure Catoire**

Director & Assistant General Counsel
Brand Protection
Procter & Gamble

“

Shopee is very keen to engage with fashion brand owners in order to hear more on how they can improve their brand protection abilities.

While counterfeiting remains an issue on ecommerce platforms globally, it requires joint input from brand owners and platform operators to tackle this, and Shopee's efforts in recent years to understand and address brand concerns are commendable. We hope to see this good work continue and expand going forward.

**Toe Su Aung**

Co-Founder and Director
Elipe Limited/Friends in Fashion

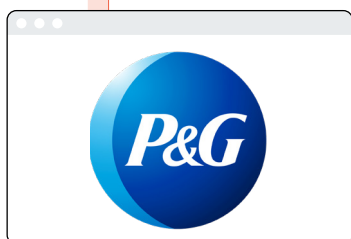
CASE STUDIES

P&G



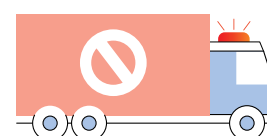
In a decisive effort to safeguard consumers from potentially harmful products, **Shopee, P&G, and Malaysia's Ministry of Domestic Trade and Consumer Affairs (MDTCA)** joined forces to dismantle a counterfeit cosmetics operation.

Shopee proactively identified a high-risk seller and conducted a test purchase, which was escalated to P&G. A swab test by the brand confirmed the items as high-quality counterfeits, prompting a coordinated investigation.



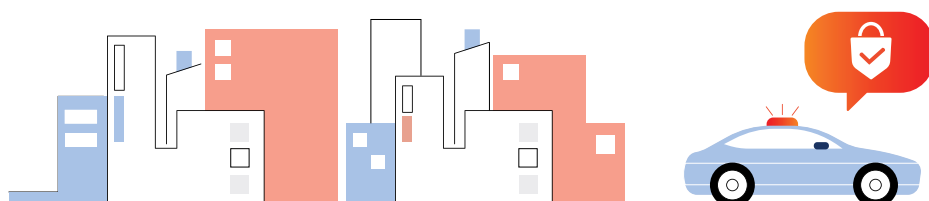
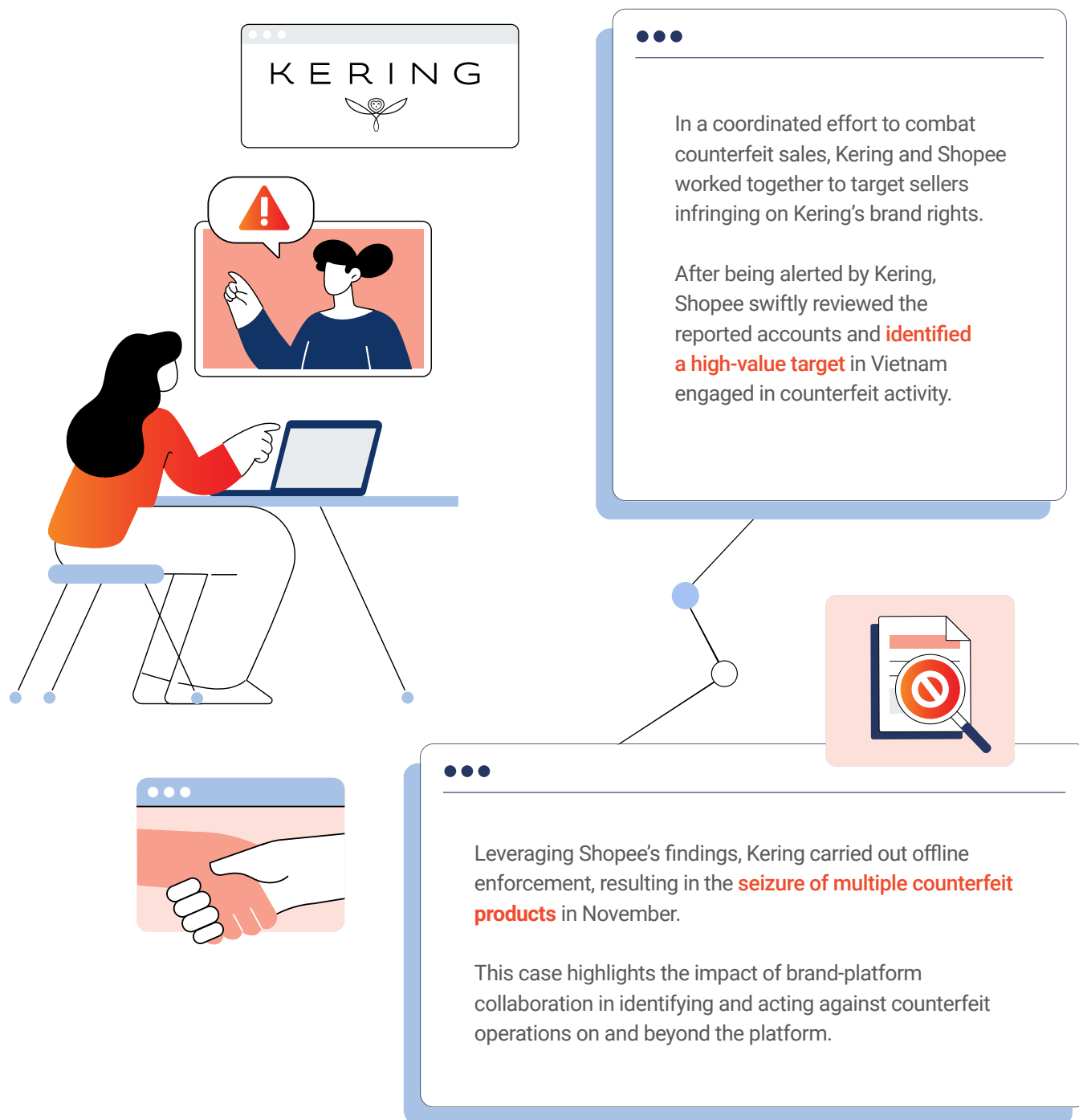
With Shopee and P&G collaborating closely, MDTCA carried out a successful raid, **seizing over 100 counterfeit cosmetic units valued at approximately USD 13,000.**

This case underscores the power of collaboration between platform, brand, and government in disrupting illicit networks and protecting consumer health and safety at the source.



CASE STUDIES

Kering Group



SECTION 04

Strengthening Industry Partnerships & Engagements

4.1 | Deepening Industry Partnerships

4.2 | Engaging Industry Stakeholders



SECTION 04

Strengthening Industry Partnerships & Engagements

Collaboration and education are at the core of Shopee's brand protection strategy. In 2024, Shopee accelerated industry engagement, working closely with brands, associations, enforcement agencies, and other key stakeholders to strengthen both proactive and reactive enforcement measures.

SECTION 4.1

Deepening Industry Partnerships



Over the past year, Shopee focused on building deeper, more collaborative relationships with industry stakeholders. These partnerships have been instrumental in enhancing enforcement protocols and optimizing user experience on our Brand IP Portal.

As a result of these efforts, Shopee has been recognized by leading organizations—including the Pharmaceutical Security Institute and Corsearch—for our continued commitment to advancing industry-wide standards in brand protection.

“

*The Pharmaceutical Security Institute (PSI) is pleased to provide a testimonial for Shopee regarding its exemplary efforts.... This year alone, Shopee achieved **an impressive 100% removal rate**...Shopee's dedication to maintaining a safe and trustworthy platform not only exemplifies corporate responsibility but also sets a benchmark for industry standards.*

*Their **commitment to transparency and rapid response** has fostered a robust partnership with PSI.... Their actions unequivocally demonstrate that they are a leader in promoting safety and integrity within the e-commerce landscape.*



Ramesh Raj Kishore
Regional Director - APAC Region
The Pharmaceutical Security Institute

“

Corsearch and Shopee have developed a proactive and collaborative approach to addressing IP concerns. Shopee's increased engagement has significantly enhanced our ability to tackle IP issues together. Their support has been notable, providing rights holders and agencies with the necessary tools and assistance to protect our clients IP adequately.

Moreover, Shopee's continuous efforts to improve the user experience of the Brand IP portal have been commendable. The enhancements have streamlined our processes, making it easier to report and manage IP infringements. While challenges with infringing content persist, we greatly value our partnership with Shopee and their commitment to enhancing efficiency and safeguarding intellectual property.

CORSEARCH

Joseph Cherayath
VP of Enforcement
Corsearch

SECTION 4.2

Engaging Industry Stakeholders

Shopee also increased its engagement with key industry associations, including INTA, IACC, REACT, AAFA, Unifab, Elipe, CropLife, KOIPA, and others. These engagements focused on raising awareness of Shopee's brand protection tools and enforcement mechanisms, while providing members with a direct escalation channel to enable faster, more effective collaboration.

In addition, Shopee actively participated in both global and regional brand protection and anti-counterfeiting conferences, advocating for stronger IPR protection policies.

2024 Key Engagements



Shopee hosted its second Brand Protection Sharing Session for key brand partners to share our latest brand protection initiatives and strategic priorities for the upcoming year.



Mar
2024

Shopee attended the Anticounterfeiting Committee Workshop hosted by the International Trademark Association (INTA) and the Annual Conference hosted by the International Anti-Counterfeiting Coalition (IACC).

May
2024

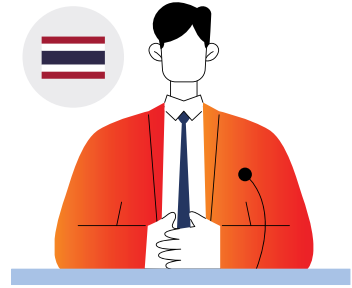
Shopee met with Friends in Fashion to discuss latest brand protection initiatives.

May
2024



Shopee attended the IP Policy Dialogue organized by Philippine Trademark Conference, where we shared our progress under the MoU with the Intellectual Property Office of the Philippines (IPOPHL).

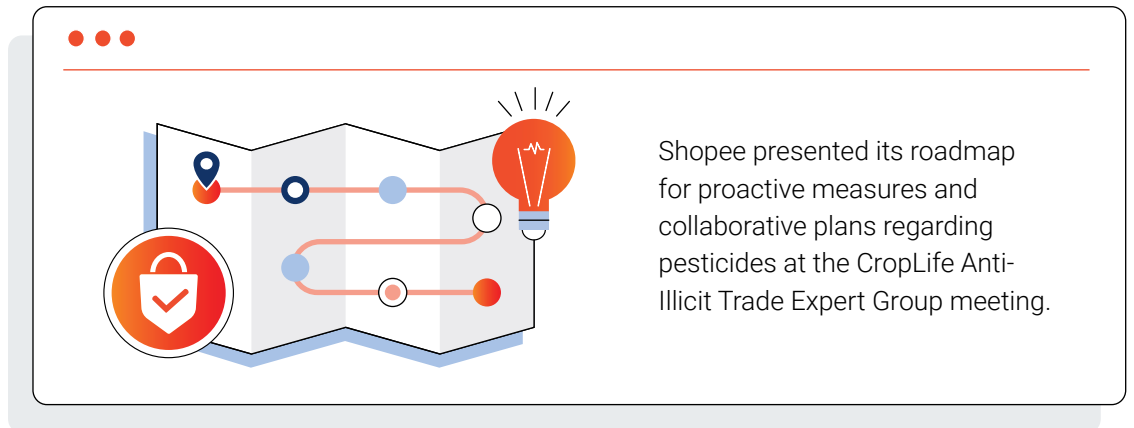
**Jul
2024**



**Aug
2024**

Shopee participated in two panels during the Indo-Pacific Workshop on Enforcement Against Trade in Counterfeit Goods in Bangkok.

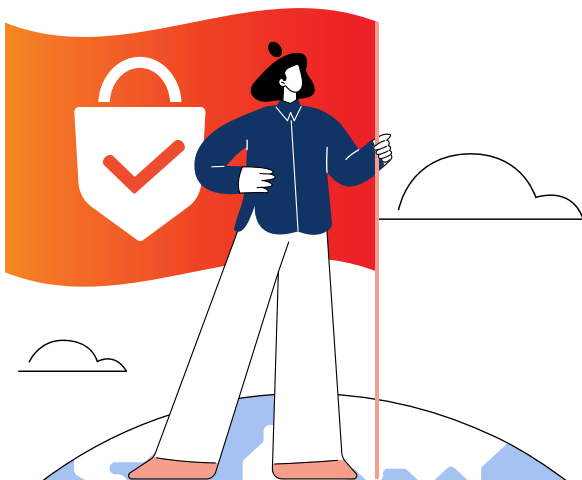
**Sept
2024**



Shopee presented its roadmap for proactive measures and collaborative plans regarding pesticides at the CropLife Anti-Illicit Trade Expert Group meeting.

Nov 2024

Shopee was recognized at the 2024 APAC Annual Meeting in Laos for our targeted anti-counterfeiting efforts in Southeast Asia.



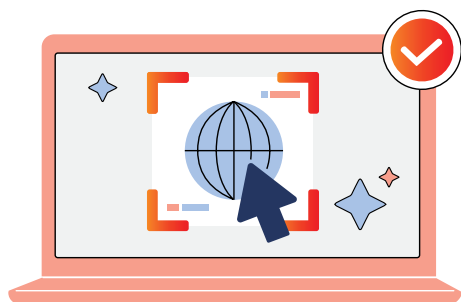
**Dec
2024**

Shopee met with IACC leadership and joined the American Apparel & Footwear Association (AAFA) in Washington D.C. to provide updates on Shopee's policies and further strengthen collaboration in brand protection.

Looking Ahead: Strengthening Brand Production Together

As we move forward, Shopee remains committed to building on our progress and taking brand protection to the next level.

In the year ahead, our focus will be on four key priorities:



1

Continuing to Enhance the IP Portal to Improve Efficiency

Shopee is dedicated to providing an effective and user-friendly notice and takedown system to support rights holders in protecting their intellectual property.

In 2024, we streamlined our enforcement processes, and by Q2 2025, we aim to **reduce our average case processing time from 3 days to 2 days across all markets**, boosting the speed and efficiency of takedown execution.

We will also continue to enhance our Brand IP Portal features to streamline user experience and further strengthen enforcement efforts.



2

Continuing to Improve Proactive Detection & Enforcement

To stay ahead of evolving tactics to avoid detection, we will **continue to innovate and improve** our Smart Identification System (SIS).

In 2025, we will roll out an enhanced Smart Identification System with **advanced self-learning capabilities** that can identify infringing images with minimal human input, improving detection accuracy for distorted, concealed, or blurred product images.



3

Cracking Down on Repeat Offenders

A major focus in 2025 will be to continue tackling repeat offenders through:

- **Stricter penalties and policy enhancements across all markets.**
- **Broader implementation of deterrent measures in our LATAM markets.**

As of January 2025, Shopee has further strengthened our Enhanced Repeat Offender Policy in Southeast Asia with a 3-strike policy.

Sellers who violate IPR policies on 3 separate occasions within a 90-day period will be **permanently removed from the platform**. This policy specifically targets bad actors who repeatedly post infringing listings and attempt to evade enforcement mechanisms.



4

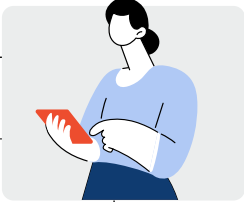
Expanding of Brand Protection Measures to Colombia, Chile & Mexico

Building on the successful expansion of proactive IPR measures from Southeast Asia to Brazil in 2024, Shopee will extend these efforts to Mexico, Colombia, and Chile by Q2 2025, **further strengthening brand protection** across key Latin American markets.

In parallel, we will roll out our **3-strike policy** pilot in these markets, alongside the broader scale-up of brand protection initiatives. We look forward to refining and expanding this pilot in the months ahead, in close collaboration with our brand partners.

Greater O2O Support & Brand Collaboration

In 2025, Shopee will enhance its support for brands' offline investigations by focusing on three key initiatives:



Scaling our Shopee Test Purchase Program

We began our test purchase program in 2024 with 10 pilot brands. This year, we will expand our pilot test purchase initiative by increasing the number of test purchases conducted throughout the year and inviting more brands to participate.

Enhancing Collaboration with Law Enforcement & Regulators

We hope to continue working closely with various law enforcement agencies and regulators, to strengthen partnerships and explore new opportunities for MOUs and Codes of Conduct.

Leveraging Shared Intelligence from different brand owners to joint enforcement efforts



By advancing these initiatives, Shopee strives to support brands and strengthen enforcement measures to combat counterfeit activity across its ecosystem.

Partner With Us!

The fight against counterfeits requires collective action. We invite brands, industry associations, and enforcement agencies to partner with us in shaping stronger policies, enhancing enforcement, and creating a safer, more trusted marketplace for all.



Shopee

**BRAND
PROTECTION**